

FORM TP 2006255



TEST CODE **02233020**

MAY/JUNE 2006

**CARIBBEAN EXAMINATIONS COUNCIL**  
**ADVANCED PROFICIENCY EXAMINATION**

**MANAGEMENT OF BUSINESS**

**UNIT 2 – PAPER 02**

*2½ hours*

**05 JUNE 2006 (p.m.)**

**INSTRUCTIONS TO CANDIDATES**

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from EACH section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.

**SECTION A**

**MODULE 1**

**PRODUCTION AND OPERATIONS MANAGEMENT**

**Answer ONE question from this section.**

1. Huckleberry Processing Inc. is a two-year old company which produces lamb for the local market in Blackberry Isle. The Production Manager, Mr. Knowles, has noticed a shortage of carcasses on several occasions and has decided to institute a system of forecasting to overcome the problem. He wants to know which of the two methods of forecasting: least squares regression or consumer surveys is more appropriate.
- (a) Identify the FOUR MAIN steps involved in customer surveys and explain how Mr. Huckleberry may use these to develop a system for forecasting for his business. [12 marks]
  - (b) Explain TWO strengths and TWO weaknesses of customer surveys compared to least squares regression as methods of forecasting. [ 8 marks]
  - (c) Recommend and justify a forecasting method to Mr. Knowles. [ 5 marks]
- Total 25 marks**
2. (a) Productivity and Total Quality Management (TQM) appear to be closely related concepts. With the aid of an example, distinguish between the TWO concepts and explain briefly how they are related. [ 6 marks]
- (b) Discuss ONE way in which EACH of the following factors may impact on the level of productivity and TQM in a large cement plant:
- (i) Supervisory skills
  - (ii) Labour-management relations
  - (iii) Continuous employee training [19 marks]

**Total 25 marks**

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**SECTION B**

**MODULE 2**

**FUNDAMENTALS OF MARKETING**

**Answer ONE question from this section.**

3. (a) Define the term "segmentation". [ 2 marks]

- (b) State THREE benefits of segmentation. [ 3 marks]

Carib Flavors is developing the marketing strategy for a new drink called **Orbit**, a non-alcoholic, glucose-based energy drink containing ginseng. Management believes that the market for this drink can be segmented in terms of demographics and psychographics for better targeting.

- (c) Select, explain and justify how TWO demographic and TWO psychographic variables may be used to segment the market for this new drink. [20 marks]

**Total 25 marks**

4. Regional Seminars Inc. is a small event management company in the process of developing several new workshops in personal development for the general public. Management has decided to conduct a survey to answer the question: *Would a sufficient number of persons patronize the workshops?* Management is trying to decide whether to use probability or non-probability sampling to select respondents for the survey. Since it has six weeks to do this research and a limited budget, the company has narrowed the choices down to systematic random sampling and convenience sampling.

- (a) Define the term "sampling" and distinguish between "probability sampling" and "non-probability sampling." [ 6 marks]

- (b) Define the terms "convenience sampling" and "systematic random sampling" and explain how EACH might be used to select respondents. [12 marks]

- (c) Indicate which of the two types of sampling in (b) above management should use and justify your answer. [ 7 marks]

**Total 25 marks**

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**SECTION C**

**MODULE 3**

**SMALL BUSINESS MANAGEMENT**

**Answer ONE question from this section.**

5. Eric has been a well-respected chef for some years and now wishes to set up a small business.
- (a) Identify FIVE factors that Eric must consider if his business is to succeed. [ 5 marks]
  - (b) Discuss the impact of EACH of the factors identified in 5 (a) above on the success of Eric's business. [20 marks]
- Total 25 marks**
6. (a) Discuss TWO main contributions of small businesses to the development of your country's economy. [10 marks]
- (b) (i) Discuss THREE difficulties faced by small business in the Caribbean.
  - (ii) Suggest ONE way in which EACH difficulty identified in 6 (b) (i) above may be overcome. [15 marks]

**Total 25 marks**

**END OF TEST**